



Cambridge International AS & A Level

ECONOMICS

9708/31

Paper 3 A Level Multiple Choice

May/June 2023

1 hour 15 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

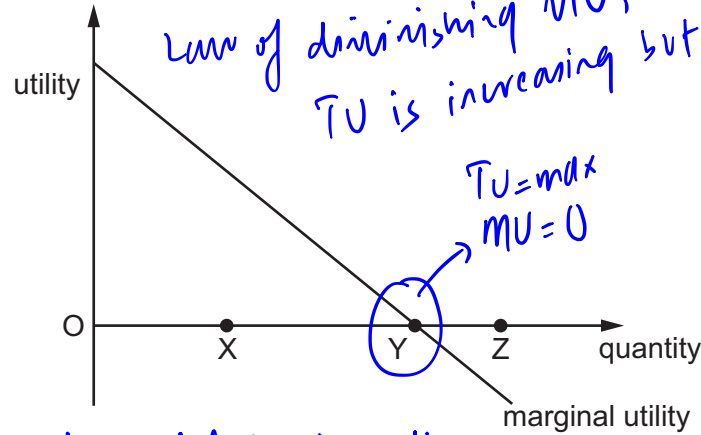
INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

Done

This document has **12** pages. Any blank pages are indicated.

- 1 What does the marginal utility diagram show?
- our 1st lecture



- TU can rise and fall, not negative*
- A Total utility becomes negative if the quantity consumed increases from Y to Z.
- B Total utility decreases if the quantity consumed increases from X to Y. *No, TU will increase at a decreasing rate*
- C Total utility decreases if the quantity consumed increases from Y to Z.
- D Total utility is maximised at X. *No, at point 'Y'. Correct, as at Y, MU = 0, TU = max, after which TU will fall.*

- 2 The initial allocation of goods between three consumers is shown.

consumer 1	consumer 2	consumer 3	total
2	5	10	17

Which row shows a Pareto improvement in the allocation of goods between consumers?

	consumer 1	consumer 2	consumer 3	total
A	2 (same)	5 (same)	11 (10 to 11)	18
B	4	5	9 (10 to 9)	18
C	4	4 (5 to 4)	10	18
D	6	6	6 (10 to 6)	18

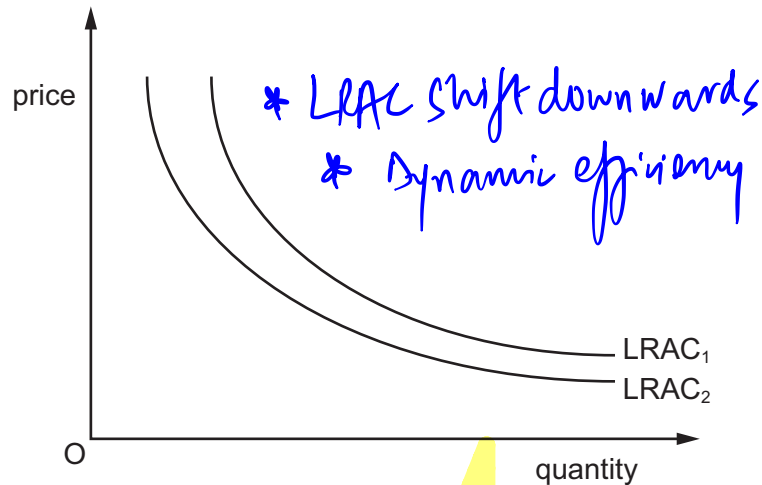
→ Pareto improvement
→ consumer 3 (decrease)
→ consumer 2 (decrease)
→ consumer 3 (decrease)

- 3 Which assumption in relation to an indifference theory diagram is not correct?

- A The consumer's income may change. *Yes, shift in budget line*
- B The consumer may change their satisfaction-maximising objective.
- C The consumers may change their tastes and preferences. *Yes, this changes preference curve*
- D The relative prices of products may change. *Yes, tilt budget line.*

Consumer is rational, it's utility maximising behaviour remains same, $\frac{MU_x}{P_x} = \frac{MU_y}{P_y}$, IC tangent to budget line

- 4 Which type of efficiency is shown by the shift from long-run average cost curve 1 ($LRAC_1$) to long-run average cost curve 2 ($LRAC_2$)?



- A allocative (marginal cost = price)
 ✓ B dynamic (shift in LRAC)
 C Pareto (operating on the PPC)
 D productive (Minimum of ATC)

- 5 A firm wishes to maximise its revenue.

Which condition must be met to achieve this goal?

- A average cost = average revenue, normal profit
 B marginal cost = average revenue, Allocative, $MC = AR(P)$
 C marginal cost = marginal revenue, Profit max level of output
 ✓ D marginal revenue = zero $MR = 0, TR = \text{Max}$

- 6 The costs and revenue of four firms operating in a monopolistically competitive market are shown.

firm	total variable cost \$m	total fixed cost \$m	total revenue \$m
W	20	10	15
X	40	50	80
Y	300	300	500
Z	600	100	550

* $TR \geq VC$:
continue in
Shortrun (SR)

* $TR < VC$:
Shutdown in SR

* $TR > TC$, continue
in longrun

w:
 $TR < TVC$, shutdown in Shortrun
 $TR > TVC$, continue in SR
 $TR < TC$, shutdown in LR
 → $500 > 300$ (continue SR)
 $500 < 600$ (shutdown LR)

Which firms will continue to operate in the short run but will shut down in the long run?

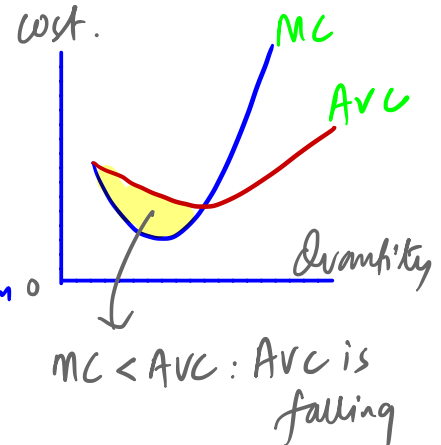
- A X and W
 ✓ B X and Y
 C W and Z
 D Y and Z

→ Z:
 $550 < 600$:
 Shutdown in SR

- 7 A firm at its current level of production finds that its short-run marginal cost is less than its short-run average variable cost.

Which conclusion about the firm can be drawn from this information?

- A Average variable cost is constant. No
 ✓ B Average variable cost is falling. correct
 C Average variable cost is greater than its average total cost.
 D Average variable cost is rising. after MC intersect minimum of AVC.



- 8 Steel producer X takes over its main competitor, steel producer Y.

What would X expect to happen to the price elasticity of demand for its product and its long-run average cost as a result of this takeover?

	price elasticity of demand	long-run average cost
✓ A	decrease ✓	decrease ✓
B	decrease ✓	increase
C	increase	decrease ✓
D	increase	increase

PED ↓

Inelastic

as competition ↓

Substitutes ↓

LRAc ↓

managerial inefficiency ↓

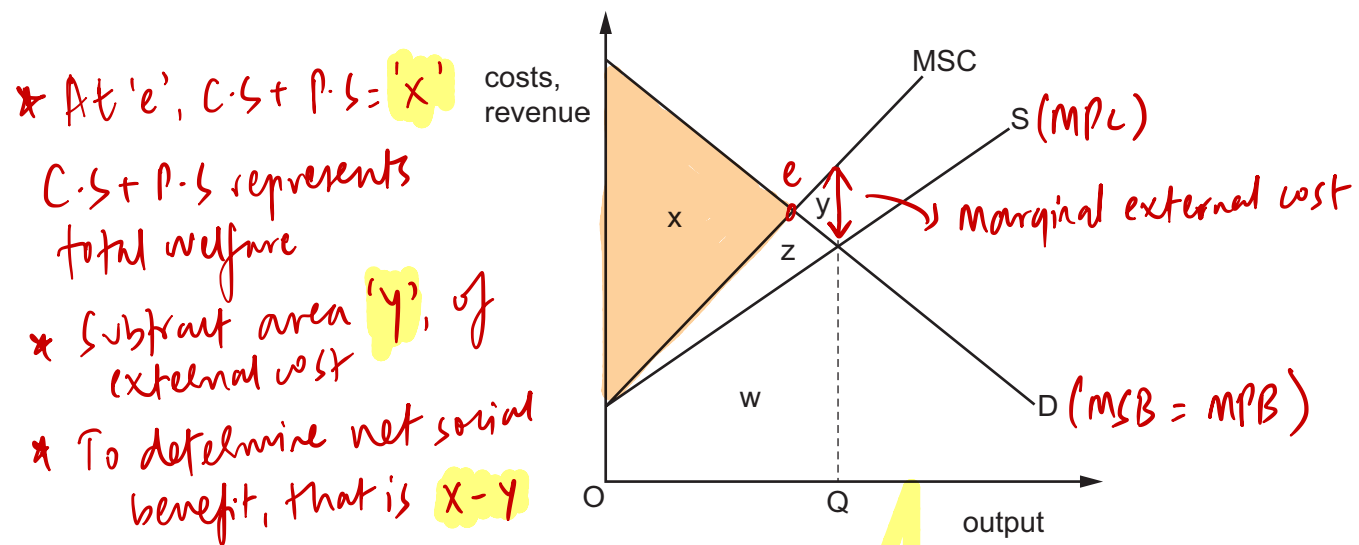
- 9 What is an example of an external cost? (Negative externalities)

- A distribution costs
 B energy costs
 C labour costs
 ✓ D road congestion costs

} private cost (or internal cost) – incurred by firms/consumers.

↳ External cost, cost to the third party for which no appropriate compensation to be paid e.g. pollution

- 10 The diagram shows the demand for and supply of a good and the marginal social costs (MSC) for that good.



Assuming there are no external benefits, which area measures the net social benefit at output OQ?

- A x ☒ B $x - y$ C $x + y$ D $x - y - z$

- 11 What would definitely result from the divorce of ownership and control?

A decreased moral hazard

☒ B the principal agent problem *Correct*

C greater productive efficiency *ATC = min (unrelated to divorce)*

D increased profit maximisation *MC = MR (Benefits Ownership, no divorce)*

Shareholders
Managers (Principal agent problem)
Conflict
Moral hazard, managers taking risks that benefit themselves but not owners.

- 12 One reason for market failure is the existence of public goods.

Which policy option is appropriate for addressing such a market failure?

☒ A direct provision of the good by the government, *Correct, non-rival, non-excludable, free rider problem.*

B provision of detailed information to consumers

C subsidising firms that currently produce the good

D the adoption of maximum price controls

same reason as option C, price control is an alternative to price mechanism, but there is no mechanism to charge price in case of public goods.

It's not merit/demerit good.
public good doesn't have a market mechanism, or price attached to it

B) A permit to pollute: This option is related to cap-and-trade systems, where companies are allowed to emit pollutants up to a certain limit. The policy in question is not related to pollution permits.

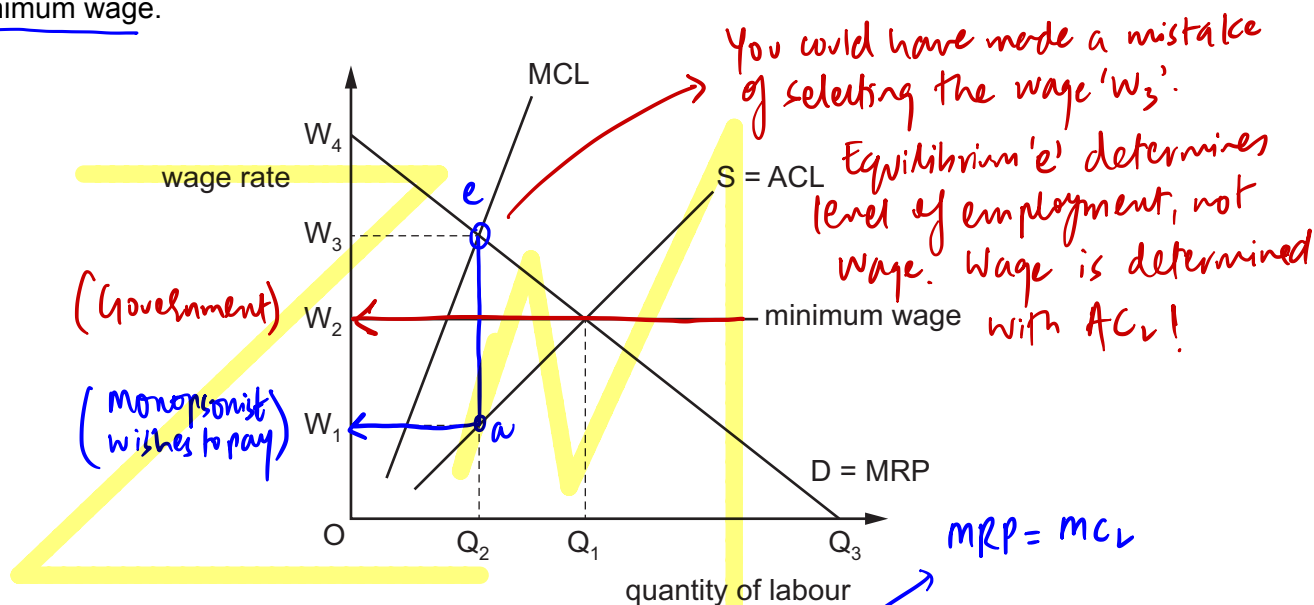
6 Regulation

- 13 In 2020, the governor of California issued an order to ban the sale of new vehicles from 2035 that are powered by petrol or diesel fuel.

Which type of government policy is this?

- A a nudge, *policy to influence behaviour*
- B a permit to pollute
- C nationalisation, *government taking ownership or control of industry or assets*
- ✓ D regulation, *law / Ban / limit*

- 14 The diagram illustrates a monopsony labour market in which the government has imposed a minimum wage.



What is the difference between the wage the monopsonist wishes to pay and the wage received by labour?

- A W_1W_3
- ✓ B W_1W_2
- C W_2W_3
- D W_2W_4

'MRP' - Demand for labour

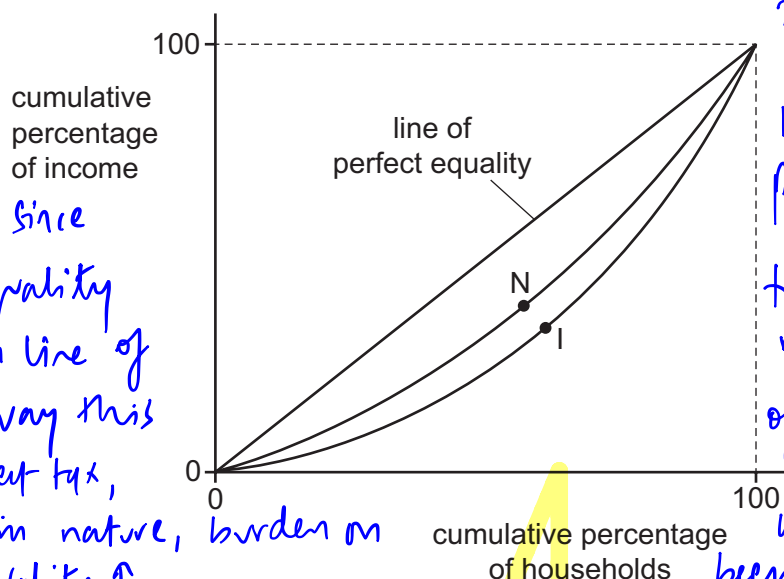
- 15 Economics textbooks state that labour is a derived demand for a firm in imperfect competition.

How is the demand curve for labour derived? *$MRP = MP \times MR$*

- A by multiplying the average physical product by the average revenue
- B by multiplying the average physical product by the marginal revenue
- C by multiplying the marginal physical product by the marginal cost
- ✓ D by multiplying the marginal physical product by the marginal revenue

Nothing else, you should know the formula of MRP

16 The diagram shows the Lorenz curves for Norway (N) and India (I).



Option A: unlikely, since India has high inequality (graph is away from line of equality) than Norway this represent high indirect tax, those are regressive in nature, burden on poor, inequality ↑

option B: If that was the case, then inequality would have been less, since progressive tax affects rich, amount used in transfer payments, reduces inequality.

option D: If that was the case then inequality would have been higher as indirect tax affects poor negatively and this inequality ↑.

What can be concluded from a comparison of the Lorenz curves?

- A India is more likely to have lower indirect taxes and a public sector education system than Norway.
- B India is more likely to have a progressive income tax system and means tested benefits than Norway.
- C Norway is more likely to have a progressive tax system and public sector pensions than India.
- D Norway is likely to have a higher percentage of tax generated from indirect taxes and privately funded pensions than India.

correct, progressive tax (direct tax), affects rich, helps reduce inequality

17 A reason for government intervention in the workings of the economy is to attempt to correct a market failure. Sometimes, though, government failure may occur.

What is not a possible reason for government failure?

- A Governments may have to make decisions on the basis of out-of-date information.
- B Governments may make decisions that reduce negative externalities.
- C The extent of the market failure may be difficult to judge.
- D When circumstances change, a government may be unable to respond quickly.

outdated data, ineffective policy

Reason

Reason (calculation/estimation error)

Reason

Adapting slowly, reduces policy effectiveness.

It isn't government failure, this represents reducing consumption/production of demerit goods.

option B is a reason for government intervention

Higher price paid to catch, again leads to overfishing

8

leads to overfishing, unsustainable

understand sustainable growth

18 A government wishes to support growth in the economy's fishing industry.

Which policy is likely to achieve sustainable growth in the fishing industry?

- A giving more modern fishing boats with larger nets to workers who fish for a living
- B paying bonus payments for larger fish catches to workers who fish for a living
- C setting up a fish cooperative so that workers who fish for a living receive a higher price for the fish that they catch

large fish catches, overfishing

- ☒ D subsidising the building of a fish farm in order to encourage workers who fish for a living to switch from sea fishing, encourages sustainable aquaculture, reduces pressure on wild fish stock, more controlled fish practice.

19 Four citizens have each been unemployed for the past six months.

Which citizen would not be characterised as being structurally unemployed?

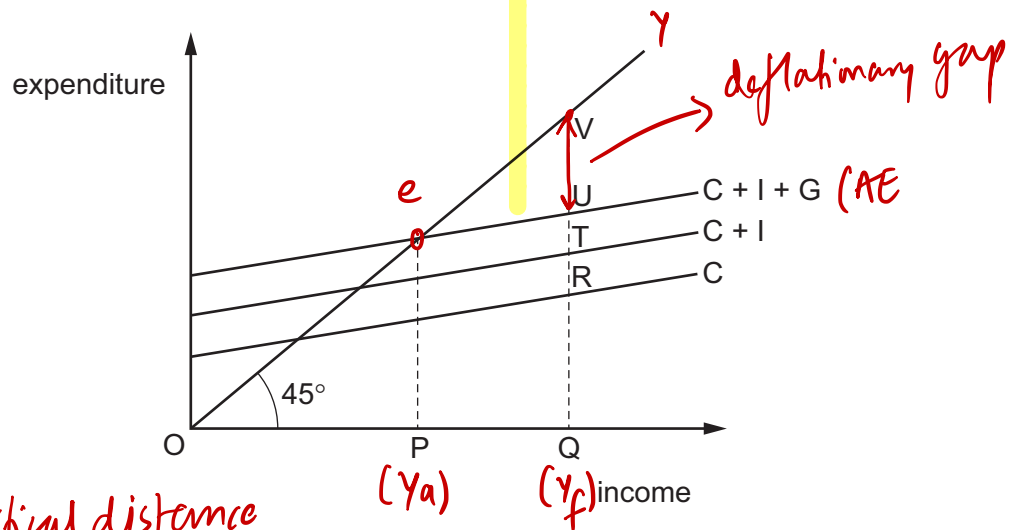
- A worked as a coal miner but coal-fired power stations are now being closed and is not willing to retrain *Occupational immobility*
- B no longer works in a town centre coffee shop because fewer people are buying goods in the town centre since a pandemic *fall in demand of coffee shop workers*
- C cannot move with the firm that has relocated because of changing demand for its products

- ☒ D has many skills and is waiting to decide which job might be the most suitable

Many skills, easier to pick this option

fall in demand of particular products

20 In the diagram, OP is the equilibrium level of income and OQ is the full employment level of income in a closed economy.



Vertical distance

What is the deflationary gap?

- A PQ
- B RV
- C TV
- ☒ D UV

*negative output gap
($Y_f > Y_a$)*

Difference between unemployed benefits and take home pay is reduced.

This makes it easier to find jobs that match their skills and preference

21 What is the most effective policy a government could introduce to reduce frictional unemployment?

A cut welfare spending on benefits

This may reduce voluntary unemployment

Information

B improve information about job vacancies

C reduce tax rates

Expansionary fiscal policy, reduces cyclical unemployment

D raise interest rates

Contractionary monetary policy, AD↓, increases cyclical unemployment

22 In a closed economy with no government sector, when will an increase in investment spending generate the largest increase in equilibrium national income?

A when households have a high level of autonomous consumption

Investment is autonomous

B when households have a high level of compulsory saving

MPC is less, multiplier will be less

C when households have a high marginal propensity to consume

MPC↑, Multiplier↑, RNI↑

D when households have a high marginal propensity to save

same as option 'B'.

Investment is initial injection, generation of RNI depends on MPC. $\frac{1}{1-c}$ e.g. $c=0.8$
 $M=5$

23 Which combination of policies is most likely to increase output?

	Expansionary fiscal policy	Expansionary monetary policy
A	decrease budget deficit	decrease interest rates
B	decrease budget deficit	increase interest rates
C	increase budget deficit	decrease interest rates
D	increase budget deficit	increase interest rates

↓
C↑, I↑
AD↑

$c=0.9$
 $M=10$

Budget deficit: $G↑ > Tax\ revenue \Rightarrow G↑, AD↑ \rightarrow output↑$

24 A country is a net importer of oil. World oil prices have risen over the year.

Assuming that all other factors remain the same, how is this likely to affect inflation, trade balance and unemployment in this country?

	inflation	trade balance	unemployment
A	decrease	no change	increase
B	increase	improve	decrease
C	increase	worsen	increase
D	decrease	no change	decrease

* Oil, inelastic, import expenditure↑, cost↑, AS↓, P↑, cost push inflation

Trade deficit

AD↓, production↓, Demand↓, unemployment↑

limits the ability of a business to respond to increase in demand.

10

AS ↑

25 What would reduce the effectiveness of a supply-side stimulus to the economy?

- A an imposition of maximum hours in a working week, *limits the hours, output ↓, AS ↓*
- B an increase in public sector spending *AD ↑, production ↑, Output ↑, AS ↑*
- C the provision of new training schemes, *potential, productivity ↑, LRAS ↑*
- D the relaxation of import controls on raw materials, *raw material will be cheaper, cost ↓, AS ↑*

e.g. an ↑ on health infrastructure

26 A multinational company (MNC) shifts its manufacturing capacity to a developing country.

What is likely to be the short-run effect of this in the developing country?

Current account:

- Trade balance
- Primary income
- Secondary income

	<i>yes</i> employment increases	<i>yes</i> investment increases	<i>worsen</i> short-run balance of payments current account improves
A	no	no	yes
B	no	yes ✓	no ✓
C	yes ✓	no	yes
D	yes ✓	yes ✓	no ✓

* MNC's establishing, local workers used, employment increases!

* Shifts manufacturing capacity, represents FDI investment.

* It can't improve current account position in short run.

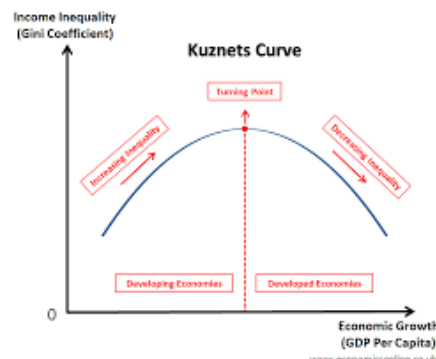
Profits sent back

SR: Increase in import of capital goods/technology

27 To indicate the changing income distribution, the Kuznets curve plots gross domestic product per capita against an economic variable X.

What is variable X? (see the diagram)

- A the exchange rate
- B the level of income inequality
- C the price level
- D the rate of interest



28 Economists define the unemployed as being those who are not in work but are actively seeking work. Other groups of people in the population of working age include those classified as inactive or self-employed.

Which groups of people are included as part of a country's labour force?

	unemployed	inactive	self-employed
A	no	no ✓	no
B	yes ✓	no ✓	yes ✓
C	yes ✓	yes	no
D	no	yes	yes ✓

Actively seeking to work

Not working, not seeking to work.

Employed
Running their own business, part of labour force.

working Age population

Economically active (Labour force)

Economically inactive

29 The table shows some United Nations population statistics for 2010 and estimates for 2050.

type of region	total population (m) 2010	total population (m) 2050	urban population (m) 2010	urban population (m) 2050	population urbanised (%) 2010	population urbanised (%) 2050
more developed	1237	1275	930	1100	75	86
less developed	5671	7875	2556	5186	45	66
least developed	855	1673	249	914	29	55

Which relationship can be confirmed from the table?

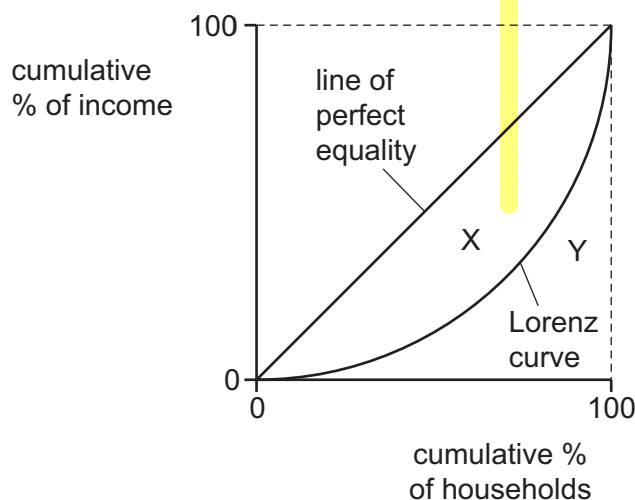
A The least developed regions have the largest urban populations, actual or predicted, in both years.

B The more developed regions have the lowest growth rate of urbanisation between 2010 and 2050.

C The type of region with the greatest total population in 2010 is predicted to have the greatest rate of population growth by 2050.

D The type of region with the greatest urban population in 2010 is predicted to have the highest level of urbanisation by 2050.

30 The diagram shows a Lorenz curve with two areas, X and Y, identified.



How is the corresponding Gini coefficient calculated?

A X divided by (X plus Y)

B (X plus Y) divided by X

C (X plus Y) divided by Y

D Y divided by (X plus Y)

-> Gini-coefficient is calculated by dividing the region between the line of the perfect equality and the Lorenz curve i.e. X with the total area under the line of perfect equality that is X+Y.

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